

**Breakout direction, confirmation.** By definition, the breakout is upward, and it occurs when price retraces 38.2% of the drop from A to B or D to E on the chart.

If the stock doesn't recover at least 38.2%, then it's not a V-bottom. You'll see a lot of valid V-bottoms where the right side of the chart pattern never makes it up to the top of the left side.

The ABC pattern is an example of this failure to retrace completely. Price at C falls short of the start, A. The DEF pattern does better. Point F almost makes it up to D, but it takes several more months to reach it at G.

**Duration.** These patterns are short but plentiful. I limited the duration to a minimum of 3 weeks and a maximum of 3 months. If you see a V-bottom with a duration of less than 3 weeks, then use your best judgment. You'll find it rare that a V-bottom lasts longer than 2 months. Most are about a month long.

## Focus on Failures

[Figure 69.3](#) shows how the V-bottom fails to perform as expected. The start of the V is at A. Price begins a steep descent like an aircraft having a cabin pressurization problem. The drop is a straight-line run down to B with almost no pauses along the way. The stock sees price plunge 30% from A (24.30) to the low at B (18.09). The duration of the pattern is just over a month (from A to C).